



CHAPTER xviii

An Act to dissolve the University College of Sussex and to transfer all the rights, property and liabilities of that college to the University of Sussex; and for other purposes. [24th May, 1962]

WHEREAS a college was established in the year nineteen hundred and fifty-nine under the name of the University College of Sussex and incorporated under the Companies Act, 1948, as a company limited by guarantee and not having a share capital:

And whereas on the petition of the University College of Sussex (hereinafter referred to as "the college") Her Majesty, on the sixteenth day of August nineteen hundred and sixty-one, granted a charter constituting and founding in the county of Sussex a university by the name and style of "the University of Sussex" (hereinafter referred to as "the University") for the advancement of learning and knowledge by teaching and research, and for enabling students to obtain the advantages of university education:

And whereas the council of governors of the college and the council of the University are desirous and it is expedient that

the college should be merged in the University and that all rights, property and liabilities of the college should be transferred to and vested in the University as provided by this Act:

And whereas it is expedient to make provision for the pooling of the investments of the University and the various trust funds held by or on behalf of the University and as to their investments:

And whereas it is expedient that the other provisions in this Act should be enacted:

And whereas the purposes of this Act cannot be effected without the authority of Parliament:

May it therefore please Your Majesty that it may be enacted, and be it enacted, by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Short title and
commence-
ment.

1.—(1) This Act may be cited as the University of Sussex Act, 1962.

(2) This Act shall come into operation on the first day of August, nineteen hundred and sixty-two.

Interpretation.

2. In this Act, unless the subject or context otherwise requires, the following expressions have the following meanings:—

“ the University ” means the University of Sussex;

“ the charter ” means the charter incorporating the University granted by Her Majesty on the sixteenth day of August, nineteen hundred and sixty-one and includes any amendment, alteration or addition thereto;

“ the college ” means the University College of Sussex;

“ the council ” means the council of the University;

“ the treasurer ” means the treasurer of the University;

“ the auditor ” means the auditor of the University accounts;

“ the appointed day ” means the first day of August, nineteen hundred and sixty-two;

“ accounting period ” means the yearly period commencing on the first day of August in each year or other the period for which the accounts and financial affairs of the University are for the time being made up, arranged and calculated;

“ endowment fund ” means a fund which is applicable for the benefit of the University or any work, purpose or feature thereof and the investments of which are for the time being held by and in the name of the University;

“ trustee investments endowment fund ” means an endowment fund the investments of which are by reason of the provisions of an instrument (including an Act of Parliament) relating to that fund to be confined to trustee investments for the time being authorised by law for the investment of trust property;

“ the certified capital value ” means, in reference to any investment with respect to which the expression is used, the capital value of that investment as certified by the treasurer or the auditor (as the case may be) in pursuance of the provisions of section 11 (Certification of capital values of investments) of this Act;

“ the trustee investments pool ” means the trustee investments pool set up in pursuance of the provisions of section 9 (Pooling of investments) of this Act;

“ the general pool ” means the general investment pool set up in pursuance of the provisions of section 9 (Pooling of investments) of this Act;

“ investment unit ” means a share in the trustee investments pool or the general pool (as the case may be) of the value determined from time to time pursuant to section 13 (Increase or reduction of value of investment unit) of this Act;

“ shareholding ” means, in regard to the trustee investments pool or the general pool and in reference to any endowment fund with respect to which the expression is used, the aggregate of the investment units in that pool to which such fund is entitled.

3.—(1) As from the commencement of this Act, the college shall be by virtue of this Act dissolved and cease to exist and all property real and personal of every description (including things in action) and all rights and privileges of the college which immediately before the commencement of this Act belonged to or were vested in or exercisable by the college shall, subject to the provisions of this Act, be by virtue of this Act without any conveyance, transfer or other instrument transferred to, vested in and exercisable by the University for all the estate and interest therein of the college and shall be applied to the objects and purposes for which the University is incorporated.

Dissolution
of college
and transfer
of property to
University.

(2) Any property which by any scheme, deed, will or other instrument or otherwise is held upon trust for any specific foundation or object of or connected with the college shall, after the said transfer, be held upon trust for and applied as far as possible to the same foundation or object of or connected with the University:

Provided that any such foundation or object may from time to time be varied or added to by deed under the seal of the

University which shall have been approved by a special resolution (as defined by article 24 of the charter) of the council but so that the funds and investments or share in an investment pool for the time being allocated to each specific foundation or object shall remain allocated for such specific foundation or object:

Provided also that any such deed of variation or addition shall not be of any validity until the same shall have been submitted to and approved by the Privy Council and a certificate of their approval thereof signed by the Clerk of the Privy Council shall be endorsed on such deed.

(3) Subject to the provisions of subsection (2) of this section any property held by the college upon or subject to any trust or trusts (not being a trust or trusts relating to the objects and purposes for which the University is incorporated) shall be held by the University upon or subject to the trust or trusts upon or subject to which such property was held by the college previously to the transfer.

Transfer of
liabilities.

4. On the commencement of this Act all debts and liabilities of the college shall, by virtue of this Act, be transferred and attached to the University and shall thereafter be discharged and satisfied by the University.

Saving for
agreements,
deeds,
actions, etc.

5. All agreements, awards, contracts, deeds and other instruments and all actions and proceedings and causes of action or proceedings which immediately before the commencement of this Act were existing or pending in favour of or against the college shall continue and may be carried into effect enforced and prosecuted by or in favour of or against the University to the same extent or in like manner as if the University instead of the college had been party to or interested in the same respectively.

Transfer of
power to
appoint or
nominate.

6. Any power or right of the college or any officer, official or member of the academic staff of the college, to appoint or nominate or consent to the appointment or nomination of a member of any authority or of the governing body of any educational, charitable or other institution shall, on the commencement of this Act, be transferred to and may be exercised by the University or the officer, official or member of the academic staff of the University holding as nearly as possible a similar position in the University as the case may be and any office whether as trustee or otherwise held by an officer, official or member of the academic staff of the college in virtue of his office shall be held by the officer, official or member of the academic staff of the University holding as nearly as possible a similar position in the University.

Extension of
privileges of
graduates.

7.—(1) A degree conferred by the University shall qualify for any office or candidature for an office for which an English university degree qualifies.

(2) A degree conferred by the University shall qualify for any privilege or exemption (being a statutory privilege or exemption or one granted by a public authority or other body including an examining body) for which an English university degree qualifies.

(3) Where an English university degree qualifies for an office or candidature for an office or for a privilege or exemption only if it is a degree of a specific kind or if it is conferred only on candidates in a specific faculty or school references in this section to a degree conferred by the University shall be construed as references to a degree of that kind or conferred on candidates in that faculty or school.

(4) References in this section to a degree include references to a diploma or other distinction.

(5) References in this section to qualification by an English university degree are references to cases where it is not germane to the qualification which university conferred the degree.

8. On and after the commencement of this Act any bequest, gift or trust in favour of or connected with the college shall be read and have effect as if the University had been named or referred to therein instead of the college whether such bequest, gift or trust is made, regulated or constituted by any will, scheme, deed or document or in any other manner and whether made or executed or taking effect before or after the commencement of this Act. Construction of bequests, etc., in favour of college.

9.—(1) The council shall, on the appointed day, set up and shall thereafter maintain two investment pools which shall be called respectively “the trustee investments pool” and “the general pool” and shall be administered respectively by the council in the manner provided in this Act. Pooling of investments.

(2) On, or at any time after, the appointed day the council may carry into the trustee investments pool any trustee investments and money belonging for the time being to any trustee investments endowment fund.

(3) On, or at any time after, the appointed day the council may carry into the general pool any investments and money belonging for the time being to any endowment fund, other than a trustee investments endowment fund. The council shall not carry into the general pool any investment or money belonging to any trustee investments endowment fund.

(4) The aggregate amount of the capital values certified at the date when they are carried in of all the investments and money

belonging to any endowment fund which are carried into the trustee investments pool or the general pool (as the case may be) at any one time in pursuance of the provisions of this section shall be divided by the value at that time of an investment unit. The result of such division (any fraction amounting to less than one-half being ignored and any fraction amounting to one-half or more being reckoned as one) shall be the number of investment units to which such endowment fund is entitled in virtue of the investments and money so carried in.

Administra-
tion of the
investment
pools.

10.—(1) Any amount of money for the time being in the trustee investments pool and available for investment shall be invested in the name of the University in any manner authorised by section 1 of the Trustee Investments Act, 1961, as if the trustee investments pool were a trust fund:

Provided that—

(a) in its application to the powers of investment conferred by the said section 1, section 2 of the said Act of 1961 shall have effect as if—

(i) in subsection (1) of that section for the words “the parts being, subject to the provisions of this Act, equal in value at the time of the division” there were substituted the words “the value of the narrower-range part at the time of the division bearing to the then value of the wider-range part the proportion of one to two”;

(ii) in paragraph (b) of subsection (3) of that section for the words “each part of the fund is increased by the same amount” there were substituted the words “the narrower-range part of the fund is increased by an amount which bears to the amount by which the wider-range part of the fund is increased the proportion of one to two”;

(b) nothing in section 3 or section 4 of the said Act of 1961 shall apply to the exercise of the powers of this Act.

(2) Any amount of money for the time being in the general pool and available for investment shall be invested in the name of the University in the purchase of or on the security of such stocks, funds, shares, securities and other investments (including land of any tenure or any interest therein) of whatsoever nature and wheresoever and whether involving liability or not and whether or not authorised by law for the investment of trust funds and generally in such manner as the council shall, in their uncontrolled discretion, think fit.

(3) Any amount of money for the time being comprised in the trustee investments pool or the general pool and awaiting investment may be paid by the council into a bank to a deposit or other

account in the name of the University and all interest (if any) payable in respect thereof shall be applied as if it were income from an investment comprised in that pool.

(4) At any time after the appointed day the council, if they for any of the purposes of any endowment fund or in order to separate such fund in whole or in part from the pool require to realise any investment units forming the whole or any part of the shareholding of that fund in the trustee investments pool or the general pool, may effect such realisation by cancelling such investment units and withdrawing from the pool in which such investment units are held either—

- (a) an amount of money equal to the aggregate nominal value of the investment units so cancelled; or
- (b) investments the certified capital value of which (as at the date of such withdrawal) is equal to such aggregate nominal value; or
- (c) an amount equal to such aggregate nominal value and composed partly of money and partly of investments the certified capital value of which (as at the time of such withdrawal) when added to the amount of such money gives a total amount equal to such aggregate nominal value.

(5) The council may at any time sell any of the investments for the time being comprised in the trustee investments pool or the general pool if such sale is required for the purpose of realisation of any investment units in that pool or is thought by the council to be expedient.

(6) The council may at any time vary or transpose any investments in either pool for or into others of any nature authorised for such pool but subject, in the case of the variation or transposition of investments comprised in the trustee investments pool, to the provisions of the Trustee Investments Act, 1961, as amended in its application to the powers of investment conferred by section 1 of that Act by subsection (1) of this section.

(7) The income arising from the investments comprised from time to time in the trustee investments pool and the general pool respectively shall be dealt with in the manner specified in section 12 (Apportionment of income from pooled investments) of this Act.

11. Whenever the capital value of any investment requires for any purpose of this Act to be certified the amount of such capital value shall be certified in writing by the treasurer:

Certification
of capital
values of
investments.

Provided that the council may if they think fit require that the value certified by the treasurer shall be revised by the auditor and in that event the auditor, after consultation with the treasurer, shall certify in writing the capital value of the investment and his certificate shall be substituted for that of the treasurer.

For the purpose of any such certification the treasurer or the auditor (as the case may be) shall ascertain, calculate or estimate the capital value of the investment upon such basis as is in his judgment the most accurate and reliable basis available and, in the case of any security for which reliable market prices are available, the valuation shall be based on the mid-market price.

Apportion-
ment of
income from
pooled
investments.

12.—(1) The net amount of the aggregate income for any accounting period from the investments comprised in the trustee investments pool or the general pool after deduction of—

- (a) any expenses of administration of that pool;
- (b) any amount which may be retained in that pool in pursuance of the provisions of subsection (2) of this section; and
- (c) any amount set aside in pursuance of the provisions of subsection (3) of this section;

shall be apportioned among the endowment funds entitled to share in that pool in proportion to the numbers of investment units in that pool to which such funds are respectively entitled and, in the case of any investment unit or units to which an endowment fund was entitled during only a part of that accounting period, after paying due regard to the time during which that fund was so entitled.

(2) The council may retain in the trustee investments pool or the general pool and carry to a reserve fund in the accounts of that pool at the end of any accounting period any such amount of income from the investments comprised in that pool not exceeding four per centum upon the gross aggregate amount of such income for that accounting period as the council may consider it expedient to reserve with a view to supplementing the income from the investments comprised in that pool to be apportioned in any subsequent accounting period and so helping to equalise the rates of the annual distributions of income in respect of that pool. The whole or any part of the income thus held in reserve for the time being in the trustee investments pool or the general pool may be applied at the discretion of the council by way of addition to the amount of income otherwise falling to be apportioned in respect of any subsequent accounting period among the endowment funds entitled to share in that pool and as if it were part of that income.

(3) Where any investment of a redeemable or terminable nature has been purchased for or transferred to the trustee investments pool or the general pool at a price which would, but for the provisions of this subsection, result in a capital loss on the redemption or termination of such investment, the council may set aside to a capital redemption account out of the income from the investments comprised in the trustee investments pool or the

general pool (as the case may be) such sum or sums as in the aggregate shall not be greater than the amount of such capital loss.

(4) Any sums set aside pursuant to subsection (2) or (3) of this section may be invested by the council and the capital and income of such investments shall respectively form part of the capital and income of the trustee investments pool or the general pool (as the case may be).

(5) If and when the council in pursuance of the provisions of section 10 (Administration of the investment pools) of this Act withdraw from the trustee investments pool or the general pool or sell any investment in respect of which any sum or sums has or have been set aside to a capital redemption account under this section the amount then standing to the credit of such account in respect of such investment shall be cancelled and enure for the general benefit of the pool to which it relates.

(6) The council shall apportion between the trustee investments pool and the general pool any expenses of administration incurred jointly for both of those pools in respect of any accounting period.

13.—(1) The treasurer and the auditor shall as soon as practicable after the end of each accounting period, and at any other time if so required by the council, respectively make to the council a report on the investments for the time being comprised in the trustee investments pool and in the general pool and if at any time the council, after investigation and after receiving such reports, shall come to the conclusion that by reason of appreciation or depreciation of the values of investments or by reason of the cancellation of any sum standing to the credit of a capital redemption account in pursuance of the provisions of subsection (5) of section 12 (Apportionment of income from pooled investments) of this Act the aggregate amount of the capital values of the investments and any money for the time being comprised in the trustee investments pool or the general pool is substantially greater or substantially less than the total value of all the investment units in that pool, the council shall make such an addition to or reduction of the nominal value of an investment unit in that pool as the council may deem appropriate under the circumstances, so as to equate such total value with such aggregate amount.

Increase or
reduction of
value of
investment
unit.

(2) The initial value of an investment unit shall be five pounds.

14. This Act shall have effect notwithstanding the provisions of any instrument relating to any endowment fund.

Effect of Act
on operation
of instruments.

15. The provisions of sections 1 and 14 of the Prevention of Fraud (Investments) Act, 1958 (which except in certain cases respectively prohibit the carrying on of the business of dealing in securities without a licence and the distribution or possession for distribution of certain circulars), shall not apply to any

Exclusion of
sections 1
and 14 of
Prevention of
Fraud
(Investments)
Act, 1958.

dealings undertaken by or on behalf of the University in connection with the setting up or operation of the trustee investments pool or the general pool or to the distribution in that connection by or on behalf of the University of any document or to the possession of any document for the purpose of such distribution.

Copy of Act
to be
registered.

16.—(1) The University shall deliver to the Registrar of Companies a printed copy of this Act and he shall retain and register it.

(2) There shall be paid to the registrar by the University on such copy being registered the fee of five shillings.

Costs of Act.

17. The costs, charges and expenses of, and incidental to, the preparing for, obtaining and passing of this Act, or otherwise in relation thereto, shall be paid by the University out of the general funds of the University.

Table of Statutes referred to in this Act

Short title	Session and chapter
Companies Act, 1948	11 & 12 Geo. 6 c. 38.
Prevention of Fraud (Investments) Act, 1958 ..	6 & 7 Eliz. 2 c. 45.
Trustee Investments Act, 1961	9 & 10 Eliz. 2 c. 62.

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